

UNIT 4 TOPIC 4.3

Ticket Refunds and Exchanges

Getting money back — correctly and on time.



DEPARTURES

FLIGHT

A T F 4 3

CLASS

H A N D S - O N

GATE

P 3

STATUS

B O A R D I N G

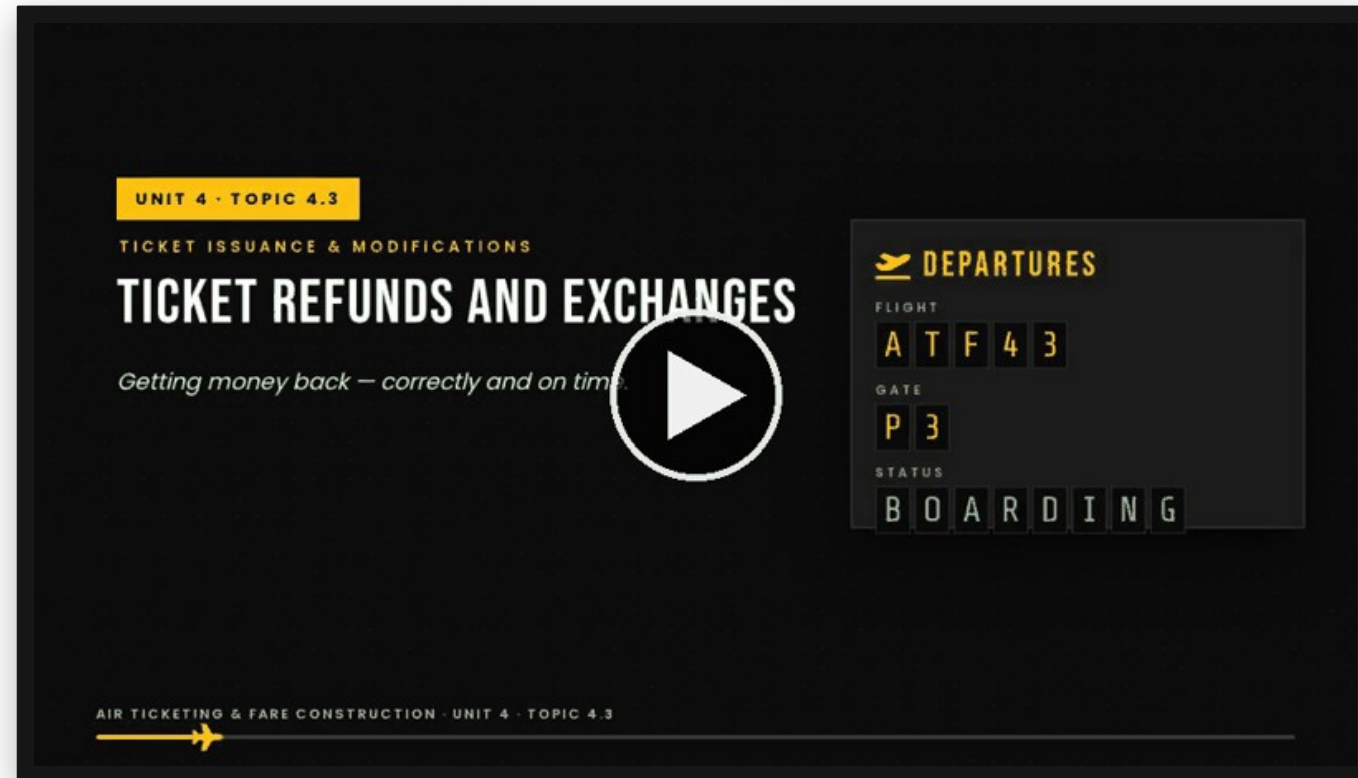
DURATION 00:40 · SEMESTER III · PLEASE PROCEED TO YOUR SEAT

B.B.A. Aviation Management · Semester III · Unit 4: Ticket Issuance & Modifications · Air Ticketing & Fare Construction (2ACBAM32) · Arun Kumar



4.3

Pre-Departure Video: Topic Intro



Air Ticketing & Fare Construction · Unit 4: Ticket Issuance & Modifications · Topic 4.3

02

4.3

Gate Announcement

**THINK ABOUT IT**

A passenger flew out but never flew back. How much money should they get back?

**THINK**

30 seconds alone

**PAIR**

1 minute with a neighbour

**SHARE**

2–3 answers with the class



4.3

Departure Schedule

1**4.3.1**

Refund types: full and partial refunds and conditions

2**4.3.2**

Exchange process: fare differences and penalties

3**4.3.3**

Refund policies

4**4.3.4**

Airline-specific refund policies and government regulations



YOU WILL BE ABLE TO

- Distinguish full and partial refunds
- Calculate refund amounts
- Process an exchange
- Apply DGCA and airline refund rules

Pedagogy: Kinesthetic Learning

4.3.1

Full vs Partial Refund



Full Refund

- No part of the ticket used
- Refund fare – penalty + taxes
- Or 100% if involuntary
- Example: trip cancelled before departure

vs

Partial Refund

- Some coupons already flown
- Deduct fare for used portion
- Refund remaining – penalty
- Example: flew out, didn't return

4.3.1

Refund Conditions



Fare Rule (Cat 33)

Refundable, penalty or non-refundable.



Coupon Status

Only open (O) coupons can be refunded.



Validity

Requests usually within ticket validity (plus airline window).



Original Payment

Refunded to original form of payment.

4.3.1

Partial Refund Calculation

Round trip DEL–BOM–DEL; outbound flown.

- Take the total fare paid.
- Deduct the fare for the used sector (one-way fare).
- Deduct the cancellation penalty.
- Add unused taxes.

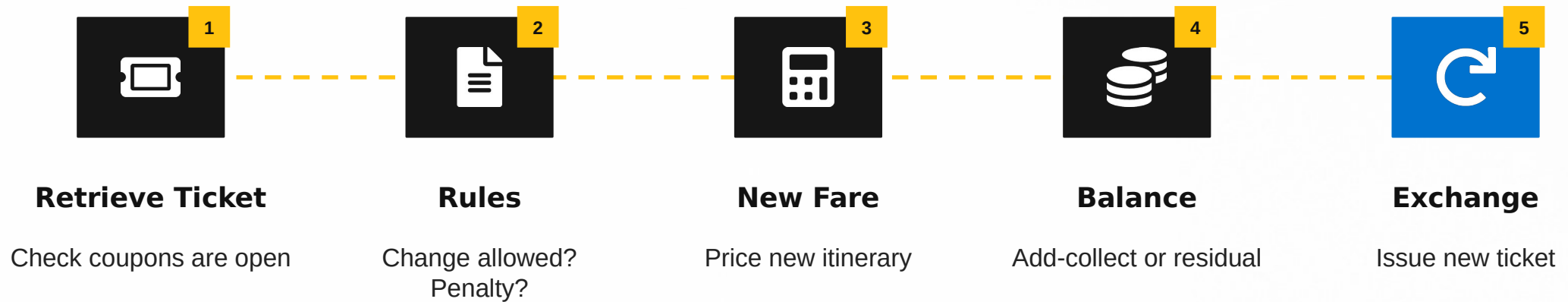
REFUND WORKSHEET (illustrative)

RT FARE PAID	INR 10,000
LESS OW FARE USED	INR 6,500
BALANCE	INR 3,500
LESS PENALTY	INR 2,000
FARE REFUND	INR 1,500
PLUS UNUSED TAXES	INR 900

TOTAL REFUND	INR 2,400

4.3.2

Exchange Process



4.3.2

Exchange Outcomes



Add Collection

New fare higher: collect difference + penalty.



Even Exchange

Same fare: collect penalty only (if any).



Residual Value

New fare lower: refund, credit or forfeit, per rule.

4.3.3

Typical Airline Refund Policy Elements

Element	Example
Cancellation fee	₹3,000–₹4,000 domestic (varies by airline and time before departure)
Time bands	Higher fee within 3 days of departure
No-show	Base fare forfeited; taxes refundable on request
Fare family	Saver = penalty; Flexi = lower/no penalty
Refund mode	Original payment; credit shell optional

Note: Illustrative — each airline publishes its own policy; always check.

4.3.4

Government Regulations (India & Global)



DGCA CAR (India)

Refund timelines: card payments within 7 days; cash immediately; via agents within 30 working days. Taxes refundable even on non-refundable fares.



Look-in option

Free cancellation/change window after booking on eligible domestic tickets (conditions apply).



Other regions

EU261, US DOT refund rules for cancellations and significant changes.



VERIFY

Passenger-rights rules are updated regularly. Always check the latest DGCA Civil Aviation Requirement (Section 3, Series M) before advising passengers.



4.3.4

Refund Timelines (DGCA, typical)

7 days

credit card refunds

Immediate

cash purchases at airline office

30 days

through travel agents (working days)



Check the latest CAR — timelines and conditions may be revised.



4.3

Ticket Desk Drill: Refund Counter Simulation



PEDAGOGY

Kinesthetic Learning

TIME · 12 min

FORMAT · Role-play in pairs

1

One student is the passenger with a printed ticket and reason for refund.

2

Agent checks coupon status and fare rule card.

3

Agent fills a refund form and calculates the amount.

4

Swap roles with a partial-refund case.

4.3*Click to reveal each answer*

Final Boarding Call Quiz

Q1

Only coupons with status ___ can normally be refunded.

- A) F
- B) O
- C) E
- D) V

ANSWER**B****Q2**

A partial refund deducts...

- A) Nothing
- B) The fare for the used portion
- C) Only taxes
- D) The whole fare

ANSWER**B****Q3**

Under DGCA rules, card refunds are due within about...

- A) 7 days
- B) 90 days
- C) 6 months
- D) 1 year

ANSWER**A****Q4**

On non-refundable fares, what is usually refundable?

- A) Base fare
- B) Taxes
- C) Penalty
- D) Nothing

ANSWER**B**

ARRIVED

Key Takeaways



Full refund: nothing flown; partial: deduct used portion



Exchanges: add-collect, even, or residual value



Airline policies set fees by fare family and timing



DGCA sets refund timelines and tax refund rights

EXIT TICKET Write 1 thing you learned today + 1 question you still have.

NEXT DEPARTURE

Topic 4.4 — Handling Schedule Changes

Thank you · Questions?

